

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**COMPLAINANT'S CONSOLIDATED REPLY TO
RESPONDENTS' AND EVERGREEN'S
PETITIONS FOR RECONSIDERATION**

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Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) respectfully opposes Respondents’ and Evergreen’s petitions for reconsideration. The Commission should reject the petitions as procedurally improper, and if it reaches the merits should affirm the Order Affirming Initial Decision and Remanding for Further Proceedings (“Order”).

I. INTRODUCTION

Based on an extensive record built on years of discovery, the Commission correctly determined that Respondents adopted regulations and imposed practices that restrict or eliminate competition among intermodal equipment providers (“IEPs”) for chassis in merchant haulage (“MH”) container movements. This conduct has raised prices for MH chassis and led to the closure of interoperable pools serving both MH and carrier haulage (“CH”) container movements, all to the detriment of motor carriers and the shipping public. The ocean carrier Respondents, acting through the Ocean Carrier Equipment Management Association (“OCEMA”) and Consolidated Chassis Management LLC (“CCM”), enacted the misleadingly named “Choice Program” which, rather than facilitating MH chassis choice, actually allows ocean carriers to veto it. Respondent ocean carriers negotiated contracts with IEPs that lowered ocean carriers’ CH rates in exchange for higher MH volume for the IEPs, while restricting motor carriers’ choice of IEP for MH movements; and continued to participate in interoperable pools that disallow choice, such as the Pool of Pools (“POP”) in Los Angeles/Long Beach.

The Commission further properly found that the consequences of Respondents’ pursuit of financial gain fall upon motor carriers, shippers, and ultimately the American public who suffer the harms from higher prices, delays, and supply chain inefficiencies. For example, Respondents’ myopic focus on reduced CH chassis pricing has caused regional interoperable

CCM pools to collapse, to be replaced by single-provider IEP pools. There is now not a single interoperable pool available in Chicago, America's most important rail hub. Respondents have confirmed that Memphis will be next, soon enough to evade meaningful Commission relief.

Dkt. 158 (Joint Status Report) at 8.

In their petitions, Respondents recycle their previous arguments, hoping for a different result. But the Order affirming the Initial Decision based on 319 stipulations of fact submitted by all parties and Respondents' own admissions, hundreds of statements of undisputed facts, and the conclusions of all parties' experts, correctly determined that Respondents engaged in unjust and unreasonable conduct in violation of the Shipping Act.

As a threshold matter, the petitions should be summarily rejected by the Commission. The Order remands for further proceedings to resolve the remaining issues in the case. Order 72. As a result, the Order is not a "final decision or order," and cannot be reconsidered under the Commission's rules. 46 C.F.R. § 502.261(a); *Carolina Marine Handling v. S.C. State Ports Auth.*, Dkt. No. 99-16, 2006 WL 3473384, at *3 (FMC Nov. 28, 2006) (orders that "remand to an administrative law judge for further proceedings are not final orders" (quoting *Am. Airlines v. Herman*, 176 F.3d 283, 289 (5th Cir. 1999))). Respondents will have every opportunity to make their arguments—in the appropriate procedural posture and at the proper time.

However, if the Commission reaches the merits, it should reject the petitions for the following reasons.

First, ample evidence in the record supports the Order's product market definition of daily chassis usage, excluding trucker-owned wheels ("TOW").¹ For example, the Commission

¹ TOW refers to "equipment owned outright or leased long-term by the motor carrier." Order 40 n.26.

properly found there are “undisputed economic realities associated with using trucker-owned wheels for merchant haulage in most situations[.]” *Id.* 41. However, the Commission did not strictly need to define a product market as a matter of law. Because the record shows direct evidence of competitive injury, there is no need to search for those effects indirectly by defining a product market. *Cf. FTC v. Indiana Fed’n of Dentists*, 476 U.S. 447, 460-61 (1986) (market definition is “but a surrogate for detrimental effects” (citation omitted)). *See* Order 69 (challenged practices “foreclose free choice and opportunities to negotiate rates and terms of service” and thus are prima facie harmful (citing *Perry’s Crane Serv., Inc. v. Port of Houston Auth. of Harris Cnty., Tex.*, 16 S.R.R. 1459, 1477 (ALJ 1976) *aff’d in part* 19 F.M.C. 548 (FMC 1977)); *see also Cal. Stevedore Ballast Co. v. Stockton Port Dist.*, 7 F.M.C. 75, 83 & n.5 (FMC 1962)). Further, there is direct evidence in the record of higher prices resulting from Respondents’ practices, as their own petition cites. Resp. Pet. 7, *citing* APP0335-36 (chassis rates higher in single-provider pools than interoperable pools with choice); and CX00002757-58 (MH chassis rates higher for ocean carriers who restrict choice requests). Thus, the Commission did not need to define a market and Respondents’ arguments are immaterial. 46 C.F.R. § 502.261(a)(2) (purported error must be “material” for reconsideration).

Second, the Commission committed no error when it found that “choices ostensibly allowed under” the CCM Pool Operations Rules “are illusory because the ocean carriers have veto power.” Order 57 (citing I.D. 36). Respondents spin the factual record to claim that the Rules enact choice, rather than restrict it. But this is a dispute only as to terminology, not substance. There is no “dispute that motor carriers’ exemption requests are subject to approval by the ocean carrier and the IEP.” *Id.*

Third, the Commission properly applied its longstanding precedent establishing a direct purchaser rule. Decision 69-70 (citing *In re Vehicle Carrier Servs.*, 1 F.M.C. 2d 440, 446 (FMC 2019)).

Fourth, when fashioning relief the Commission correctly concluded that the marketplace will supply the necessary chassis in the absence of Respondents’ choice-restraining agreements and practices. Order 71. The Commission appropriately noted, “[c]hanging which provider supplies the chassis will not alter traffic volume or demand—the same number of chassis will still be required—but who supplies them will be open to competition.” *Id.*

Fifth, Respondents’ argument that they had no opportunity to brief issues in the POP is baseless. Reconsideration can only be granted if (1) “the party has not previously had the opportunity to comment,” or (2) the argument “was not addressed in the briefs or arguments of any party.” 46 C.F.R. § 502.261(a)(3) (emphasis added). In fact, issues concerning the POP were raised in the Complaint, and all parties briefed the POP at every stage of the litigation. *Infra*. The Commission further cabined its relief only to Respondent ocean carriers—and did not include the nonparty IEPs. Order 61. Similarly, the IEPs’ amicus brief raises issues as to jurisdiction and remedy which the Commission already sufficiently addressed in the Order.

Finally, Evergreen argues (again) that its purportedly unique business model exempts it from the Order. But the record firmly supports the Commission’s conclusion that Evergreen’s contracts and practices restrict MH chassis choice, in violation of the Shipping Act. *Id.* 65-66.

The Order carefully navigates the complexities of the intermodal supply chain and securely moors its holdings in undisputed facts and adherence to Commission precedents. The Commission should reject Respondents’ and Evergreen’s petitions in their entirety.

II. LEGAL STANDARDS

Petitions for reconsideration must meet strict requirements. As a threshold matter, only a “final decision or order by the Commission” may be reconsidered. 46 C.F.R. § 502.261(a). Petitions to reconsider nonfinal orders must be summarily rejected. *ONE Network Express Pte. Ltd. & Ocean Network Express (N. Am.) Inc. – Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-17, 2022 WL 331006, at *1 (FMC Jan. 28, 2022) (rejecting petition as nonfinal). Finality requires a “consummation of the decisionmaking process—it must not be of a mere tentative or interlocutory nature.” *Bennett v. Spear*, 520 U.S. 154, 177-78 (1997). Commission orders that “remand to an administrative law judge for further proceedings are not final orders” reviewable by a petition for reconsideration. *Carolina Marine Handling*, 2006 WL 3473384, at *3 (quoting *Am. Airlines v. Herman*, 176 F.3d 283, 289 (5th Cir. 1999)). Further, an order that “remand[s] cases to an ALJ for a determination of damages are not final orders.” *Id.* (quoting *Wash. Metro. Area Transit Auth. v. Dir., Office of Worker’s Comp. Programs*, 824 F.2d 94, 96 (D.C. Cir. 1987)).

But even final orders are subject only to narrow grounds for reconsideration. Petitions must be summarily rejected unless one of three conditions has been met. First, if there is a “change in material fact or in applicable law, which change has occurred after the issuance of the decision or order.” 46 C.F.R. § 502.261(a)(1). Here, such a change must have occurred after February 13, 2024—and not after the close of discovery. *Carolina Marine Handling*, 2006 WL 3473384, at *4 (rejecting petition because “this is not a change in fact that occurred after the Commission issued the Order”).

Second, a petition may be considered if it identifies a “substantive error in material fact contained in the decision or order,” 46 C.F.R. § 502.261(a)(2). Under this provision, there must be a substantive error identified by the petition, and such an error must be material, i.e., the fact

must have some possibility to “affect the outcome” of the Order. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). Facts that are “irrelevant or unnecessary” to the Order are not material, and thus cannot be reconsidered. *Id.*

Third, a petition may be considered if there is “a finding, conclusion, or other matter upon which the party has not previously had the opportunity to comment or which was not addressed in the briefs or argument of *any* party,” 46 C.F.R. § 502.261(a)(3) (emphasis added). Rule 261 explicitly does not permit a petition to “merely elaborate upon or repeat arguments made prior to the decision[.]” *See Carolina Marine Handling*, 2006 WL 3473384, at *5-6 (rejecting petition for same).

III. ARGUMENT

A. The Order is Nonfinal.

The Order, like the Initial Decision it affirms, is analogous to a grant of partial summary judgment in district court, and thus is not final. *Cf.* Fed. R. Civ. P. 56, adv. cmte. note to 1946 amendment (a “partial summary ‘judgment’ is not a final judgment”); 15B Wright & Miller, *Federal Practice & Procedure* § 3914.28 (2d ed. through Aug. 10, 2023) (“Summary disposition of fewer than all claims among all parties ordinarily is not final”). As a result, the petitions must be summarily rejected. 46 C.F.R. § 502.261(a).

The Decision does not resolve all claims in the case, leaving open important questions of liability and relief in the first instance. *See Carolina Marine Handling*, 2006 WL 3473384, at *3 (“agency orders which remand to an administrative law judge for further proceedings are not final orders.” (quoting *Am. Airlines*, 176 F.3d at 289)). Underscoring the nonfinal nature of the Order, the Commission remanded for further proceedings to resolve the remaining issues. Order 72; *see Carolina Marine Handling*, 2006 WL 3473384, at *3 (order remanding for further proceedings is nonfinal (citing *Bennett*, 520 U.S. at 177-78)). For example, the Commission

returned the case to Judge Wirth to determine whether reparations may be appropriate, and if so, the amount. Order 32 n.24; see *Carolina Marine Handling*, 2006 WL 3473384, at *3 (“remand cases to an ALJ for a determination of damages are not final orders.” (quoting *Wash. Metro. Area Transit Auth.*, 824 F.2d at 96)).

Respondents will have every opportunity to petition the Commission to reconsider its factual findings—at the proper time, such as after the Presiding Officer’s decision on remand.

B. The Order’s Findings are Amply Supported by the Factual Record.

Faced with an extensive record demonstrating how ocean carriers restrain MH chassis choice for their own benefit, Respondents fumble for a different conclusion. But the Order is clear-eyed as a matter of fact and correct as a matter of law.

1. The Order Correctly Analyzes the Economic Realities of TOW.

Respondents hope to sink the Commission’s Order by targeting the exclusion of TOW from the product market definition. But their selective citation of a few documents is inconsistent with the complete factual record. The Commission correctly found that “the undisputed economic realities associated with using trucker-owned wheels for merchant haulage in most situations” supports the conclusion “that daily chassis usage is the relevant product market.” Order 41. Thus it is no “substantive error” to exclude TOW from the relevant product market. 46 C.F.R. § 502.261(a)(2).

The factual record strongly supports this conclusion. Evidence demonstrates that TOW can be prohibitively expensive for most motor carriers, especially smaller ones. CSUMF² ¶¶ [REDACTED]. These costs include the capital required to invest in the chassis, maintenance and repair costs, the financial commitment required to store them, and of course the labor and logistical

² This brief adopts the same abbreviations as the Initial Decision. See I.D. App’x A.

challenges with managing and repositioning them. *Id.* Even Respondents’ expert admits that there are only [REDACTED] [REDACTED].” CSUMF ¶ 697; Coates Dep., CX00000871 at 172:17-23; *see also* Order 40-41 (Respondents’ expert acknowledges the “economic realities that limit the usage of trucker-owned wheels” (citing MICP Report 11-12)). Moreover, the motor carrier must pay for the chassis 24/7, rather than just for the time they are in use. Substituting between TOW and daily usage thus makes sense only where chassis utilization rates are high (to justify the investment), such as specialty chassis. CSUMF ¶¶ 694-713. The use of TOW “may add time and expense to container moves because it may require more chassis splits . . . and chassis flips . . . which also increase turn times and fewer trips per workday.” Order 40. Moreover, TOW is entirely prohibited in certain circumstances, such as when rail ramps forbid non-pool chassis. CSUMF ¶¶ 70, 72; *see also* Resp. Pet. 14 n.8 (citing a GAO report, which also observes that “[t]wo IEPs and a trade association told us [the GAO] that motor carriers may not always be able to use their own chassis, for example, at a ‘wheeled’ port[.]” CX00001976).³ Despite certain functional similarities between TOW and daily usage, economic realities dictate that they are not effective substitutes. *See, e.g., Regeneron Pharms. v. Novartis Pharma AG*, ___ F. 4th ___, 2024 WL 1145340, at *8 (2d Cir. 2024) (“the applicable analysis is whether or not the products are

³ Respondents further argue that *some* motor carriers own a limited number of chassis. In making this point, Respondents publicly filed confidential business information designated as Outside Counsel’s Eyes Only, including from an identified third-party motor carrier deposition, in violation of the confidentiality order. *See* Dkt. 55. IMCC requested that Respondents remove the designated material from the public record, but Respondents refused. At this point, the harm to the particular motor carrier from the disclosure of its competitively sensitive information has been done. Such a violation of Respondents’ discovery obligations prejudicing motor carriers has been an unfortunate pattern during this litigation. *See* Dkt. 59, 64, 120. IMCC respectfully requests that the Commission observe the significant risks that motor carriers have shouldered for the benefit of the shipping public during this litigation.

economic substitutes, not whether they appear to be functionally similar.”); *see also* *Geneva Pharms. Tech. Corp. v. Barr Labs.*, 386 F. 3d 485, 496-97 (2d Cir. 2004) (“substantially higher prices” can show “inelastic demand” including for functionally identical products).

Regardless, even if there were a factual error as to market definition (there is not), such an error is not “material” to the Order because the Commission did not need to define a market as a matter of law. 46 C.F.R. § 502.261(a)(2). For example, the record contains ample direct evidence of higher prices, thus demonstrating the IEPs’ pricing power. There is no dispute that daily chassis usage rates are significantly higher in chassis pools that prevent choice versus those that allow choice. Decision 42-43; Langenfeld Report ¶¶ 20-22, 58, 60. Even Respondents’ own cited evidence demonstrates substantially higher prices for MH chassis in pools without choice than pools with choice. Resp. Pet. 7 (citing APP0335-36 (chassis rates higher in single-provider pools than interoperable pools with choice); CX00002757-58 (MH chassis rates higher for ocean carriers who restrict choice⁴)). Thus, the Commission did not actually need to define a market to infer detrimental effects, because those harms can be directly shown. *Cf. Indiana Fed’n of Dentists*, 476 U.S. at 460-61 (market definition is “but a surrogate for detrimental effects” (citation omitted)); *Oltz v. St. Peter’s Cmty. Hosp.*, 861 F.2d 1440, 1448 (9th Cir. 1988) (“Defining the market is not the aim of antitrust law; it merely aids the search for competitive injury.”); *accord* 2B P. Areeda & H. Hovenkamp, *Antitrust Law* ¶500 (5th ed., 2022 cum. supp. 2015-2021). As a result, any quibble with the Order’s product market definition is immaterial.

Lastly, Respondents contend that ‘times have changed,’ so that the Commission’s market definition findings are based on a stale record. *E.g.* Resp. Pet. 5 (arguing that “subsequent

⁴ [REDACTED] and [REDACTED]. *See* CSUMF ¶ 87 (summarizing choice policies in CCM pools); *id.* ¶¶ [REDACTED].

growth of TOW” since close of fact discovery calls the Order’s product market definition findings into doubt). But taken to its logical conclusion, this would mean that fact discovery could never close, and that the Commission could never enjoin unreasonable conduct. Regardless, the Commission’s rules do not entertain petitions based on any change since the close of fact discovery, but rather “after issuance of *the decision or order*,” i.e., February 13, 2024. 46 C.F.R. 502.261(a)(1) (emphasis added); *Carolina Marine Handling*, 2006 WL 3473384, at *4. Respondents make no showing here.

2. Respondents’ Practices Are Facially Detrimental to Competition.

Respondents’ objection to product market definition is also immaterial because the MH chassis choice restrictions are facially exclusionary, thus meeting IMCC’s prima facie burden.

The Commission correctly found that exclusive arrangements, such as those that restrict MH chassis choice, are “presumptively illegal[.]” *Petchem, Inc. v. Fed. Maritime Comm’n*, 853 F.2d 958, 963 (D.C. Cir. 1988); *see also* Order 35-38 (citing *Perry’s Crane*, 16 S.R.R. 1459 and *Stockton*, 7 F.M.C. 75). Under the Shipping Act, such practices are “prima facie unreasonable” precisely because they are designed to eliminate the “benefits of competition,” Order 35 (citing *Stockton*, 7 F.M.C. at 83). Thus, a complainant need not “prove ‘these evils actually exist’” because “healthy competition for business” has been destroyed which is the “best insurance and prevention” against those harms. Order 35-36 (quoting *Stockton*, 7 F.M.C. at 83 n.5). As a result, the Commission did not need to define a market because the challenged practices “foreclose free choice and opportunities to negotiate rates and terms of service.” Order 69 (citing *Perry’s Crane*, 16 S.R.R. at 1477). No complex economic analysis is necessary for the Commission to infer that preventing a customer from switching to an alternative harms motor carriers, stifles competition among chassis providers, and raises transportation costs for the

shipping public. *Stockton*, 7 F.M.C. 75, 83 & n.5. Thus, Respondents’ concerns with market definition are immaterial to the Order.

Respondents attempt to distinguish these cases, arguing that Respondents’ restrictions on chassis choice do not foreclose 100% of the market. Resp. Pet. 12 n.6. But the Commission can infer that the practices will cause detrimental effects (such as higher prices) well before the entirety of a market is foreclosed. *Cf. United States v. Microsoft*, 253 F.3d 34, 69 (D.C. Cir. 2001) (per curiam) (under more exacting antitrust standards, exclusive dealing illegal where “its probable effect is to foreclose competition in a *substantial share* [i.e., not all] of the line of commerce affected.” (citation omitted)); *United States v. Dentsply Int’l*, 399 F.3d 181, 191 (3d Cir. 2005) (under stricter antitrust standards, “the test is not total foreclosure, but whether the challenged practices bar a substantial number of rivals or severely restrict the market’s ambit.”).

Here, the factual record demonstrates that the challenged arrangements severely restrict the ability of motor carriers to switch to an alternative chassis provider. For example, Rules 5.5 and 5.7 on their face “restrict motor carriers’ ability to select the chassis provider to supply equipment for merchant haulage cargo.” Order 54. The POP likewise prohibits MH chassis choice. *Id.* 61 (citing I.D. 62; JSF ¶ 197). In addition, ocean carriers agree to contract terms for which “motor carriers are limited in their ability to select other chassis providers” in MH movements. I.D. 42; CSUMF ¶ 497 (citing to numerous examples). These can include certain MH volume targets, or direct restrictions on MH chassis choice. *Id.* In exchange for these provisions, ocean carriers negotiate to receive benefits, like reduced CH rates or direct payments. *Id.*; see also I.D. 43 (There is “no genuine dispute that Respondent ocean common carriers entered into chassis usage agreements providing for total chassis volumes, including both CH and MH, with CH rates calculated based on these total volumes . . . or otherwise integrate or

incorporate MH volumes in the course of structuring pricing with IEPs” (citing CSUMF ¶ 497; CSUMF/RResp ¶ 496 (responding to CSUMF ¶ 497))).

As a result, the Commission correctly reasoned that *some* ability to switch away from the ocean carrier’s IEP does not save the MH chassis choice restraints. For example, in *Perry’s Crane*, the Port “justified the practice as affording stevedores *some* choice because they could select which crane operator to displace” Order 36 (citing *Perry’s Crane*, 16 S.R.R. at 72-76). But the ALJ and the Commission nevertheless found that the Port’s “first priority practice was unreasonable and should be modified to restore stevedores’ ability to choose the crane operator and equipment best suited to the task without the Port’s interference insofar as the circumstances allowed.” *Id.* That practice, even if it did not foreclose 100% of competition, still constituted a “‘mini-monopoly’ which it needed to justify[.]” *Id.* Similarly, in *Petchem*, the Commission determined that exclusionary arrangements “are generally undesirable,” and so the respondent must justify them. *Petchem v. Canaveral Port Auth.*, 1986 WL 170038, 28 F.M.C. 281, 196 (FMC 1986), *aff’d Petchem*, 853 F.2d 958.

The Respondents’ arrangements effectively give pricing power to IEPs by restricting motor carriers’ ability to switch away from the designating provider. This conduct forecloses competition, resulting in higher prices on motor carriers and ultimately the shipping public. The Commission correctly found that these arrangements meet IMCC’s prima facie burden, and so Respondents’ disagreement with the product market definition is of no consequence.

3. The Factual Record Supports the Commission’s Findings with Respect to the CCM Rules and Operations Manual.

The factual record amply demonstrates that the CCM Pool Operations Manual enacts not a ‘Choice Program,’ but rather a ‘Denial of Choice Program.’ Rule 5.5 of the Manual “assigns chassis charges to the ocean carriers’ preferred provider while Rule 5.7 allows choice, i.e.

another provider to be utilized, but only if ocean carriers and IEPs permit the exception.” I.D. 36 (citing CX00002398-99; JSF ¶¶ 200-06); *accord* Order 7. No party disputes that the text of Rule 5.7 gives ocean carriers and IEPs the unfettered right to veto a motor carrier’s selection of MH chassis. Order 7; *see also* I.D. 36 (an “ocean carrier, acting on its own, retains the ability to block a motor carrier choice request under the present rules” (citing RMSD/COpp at 10; CX00002160 (“Chassis ‘Choice’ Dilemma” presentation); CSUMF ¶ 86 (referencing CCM Choice Program webpage, CX00001992)). This choice-by-exception model occurs for all movements, including MH movements, which are paid by motor carriers and BCOs. I.D. 36; CSUMF ¶¶ 79, 82, 84. As a result, “there is no genuine dispute that although Rule 5.7 allows a motor carrier to request a different chassis provider, the ocean carrier can block such a request.” I.D. 37; *see also* CSUMF ¶¶ 80, 82, [REDACTED].

This veto right distorts competition because the entity selecting the chassis (the ocean carrier) is not the same entity that pays for the chassis (the motor carrier or BCO). As a result, Rule 5.7 empowers an ocean carrier to give its selected IEP pricing power over MH chassis, thus increasing the motor carrier’s costs over what would prevail in a market with IEP-motor carrier negotiations. *See Stockton*, 7 F.M.C. at 82-83 & n.5.

Respondents maintain that “the contributory pools managed by CCM have no role in deciding who, whether, or how a customer of an IEP that is a pool contributor gets billed.” Resp. Pet. 3; *see also id.* 10 n.4. But this is a mere (and inconsequential) dispute over terminology. The Manual Rules clearly assign usage, giving the designated IEP the right to bill a customer. Order 6-7; I.D. 16 (citing Tock (CCM) Dep. at CX00000459; CSUMF ¶ 36; CSUMF/RResp ¶ 36). Respondents further assert that different ocean carriers have different policies with respect to how often they exercise those veto rights. Resp. Pet. 9-10. But this only supports the

Commission’s finding that that the Rules are more restrictive than necessary: if some ocean carriers always permit choice, then allowing other ocean carriers to restrict it is not necessary. And Respondents do not identify a single fact in the record showing that allowing chassis choice creates any operational difficulties for the pool, or otherwise burdens supply chain fluidity. Thus, the CCMP Operations Manual Rules that allow unfettered veto rights, including Rule 5.7 and Rule 5.5 (when motor carriers are not able to freely select the chassis provider of their choice for MH), are more restrictive than necessary. Further, the differences among carriers also highlight why injunctive relief is necessary. Even if, as Respondents claim, “Carrier A” permitted choice in 2018, injunctive relief is needed to prevent a policy reversal under the current framework.

Therefore, the factual record is more than sufficient to provide a reasonable basis for the Commission’s conclusion that the CCM Rules restraining MH chassis choice are unreasonable.

4. The Commission Correctly Applied its Direct Purchaser Rule.

Respondents attempt to evade scrutiny for their unreasonable conduct by arguing that motor carriers suffer no harm because they pass on any overcharges to their customers. Resp. Pet. 15-16. But the Commission correctly determined that this argument is “defeated by the direct purchaser rule.” Order 69-70 (citing *Vehicle Carrier Servs.*, 1 F.M.C. 2d at 446). As a result, detrimental harms (including higher prices) are analyzed from the perspective of the person “‘directly damaged,’ regardless of what may have occurred later[.]” Order 70 (citing *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-11 (1934)).

In addition, Respondents quixotically argue that “motor carriers would have a limited or no ability to mark-up [chassis] rates” that contain an overcharge from the unreasonable conduct. Resp. Pet. 16. But this makes no economic sense. The ability of a motor carrier to pass on an overcharge (or not) depends on the dynamics of the market for motor carrier services, not for

chassis. *E.g.*, *In re Optical Disk Drive Antitrust Litig.*, 2016 WL 467444, at *8 (N.D. Cal. Feb. 8, 2016) (“pass-through might vary greatly, depending on the particular sales channels and other circumstances surrounding how any given [products] were sold.”). The complexity of analyzing the competitive dynamics of a second market is one of the foundational reasons the Supreme Court has adopted a direct purchaser rule for the Clayton Act. *Illinois Brick v. Illinois*, 431 U.S. 720, 736 (1977).

Regardless, even if some motor carriers charge their customers more than the higher cost of the chassis—which companies are entitled to do in a market economy, particularly when they provide their customers additional services—that would mean the shipping public is harmed *more*, not less. Respondents effectively concede that the harms from their unreasonable practices radiate out into the wider economy, burdening the entire supply chain. But the Commission properly cabined its analysis to the competitive harms suffered by the direct purchasers: motor carriers.

5. The Commission Correctly Directed Relief Solely at Regulated Entities.

Chassis markets existed before this litigation, and they will continue after. The Commission properly limited its relief to enjoining unreasonable practices from regulated entities, noting that the “chassis supply market will adjust within a reasonable time frame and reach a new equilibrium.” Order 71. The Commission correctly found that “[c]hanging which provider supplies the chassis will not alter traffic volume or demand—the same number of chassis will still be required—but who supplies them will be open to competition.” *Id.*

Respondents speculate that the Commission’s Order will cause shortages. Resp. Pet. 14 n.8. But even if this were true, temporary shortages are just unmet demand; they incentivize a rational profit-maximizing firm to increase supply. In this way, a competitive market induces an increase in output. (Which is why competitive markets for chassis availability are very

important). Further, the Commission has never ruled that ocean carriers play no role in ensuring sufficient chassis to meet demand. Rather, the Order expressly affirmed Judge Wirth’s finding that “rules specifying a default (or preferred) chassis provider may promote efficiency and, at this stage of the case, have not been shown to be unreasonable so long as the motor carrier can select a different provider.” Order 13 (citing I.D. 4); *id.* 31 (citing I.D. 4, 48).

Respondents’ own conduct and petitions underscore this point. In the limited areas where MH chassis choice is permitted, motor carriers exercise it—resulting in lower prices and no chassis shortages. IEPs recognize this dynamic and enter contracts with large motor carriers in areas where choice is available. CSUMF ¶¶ 526-45. Moreover, Respondents’ own petition asserts that some ocean carriers allow MH chassis choice in CCM pools; and yet no supply shortages have emerged. Resp. Pet. 9-10; *id.* 7 (citing APP0335-36 (chassis rates higher in single-provider pools than interoperable pools with choice); CX00002757-58 (MH chassis rates higher for ocean carriers who restrict choice)). And, of course, Respondents’ claim that the use of TOW is growing directly contradicts their contention that market dynamics will be insufficient to supply MH chassis for the supply chain. Resp. Pet. 5-8.

Lastly, although the Commission’s relief is clear, Respondents identify potential challenges, including at wheeled terminals. Resp. Pet. 14, 21-22. Any logistical questions regarding how to address violations of the Shipping Act can and should be addressed before Judge Wirth in the first instance. IMCC plans to address these questions, and others, during the remanded proceedings. For example, in the Joint Status Report filed March 25, 2024, IMCC requested that the Presiding Officer require that Respondents submit a compliance report detailing, *inter alia*, how they plan to ensure effective MH chassis choice at wheeled terminals.

Dkt. 158 at 3. Contrary to Respondents’ handwringing, it is the Respondents’ responsibility to explore the multiple avenues that exist to comply with the Order at wheeled facilities.

C. Respondents Have Already Made Their Arguments Regarding the Pool of Pools.

Respondents appropriately do not argue that the Commission’s factual findings are incorrect with respect to the POP. Instead, they contend that they never had the opportunity to address them. Resp. Pet. 18-22.

Not so—Respondents extensively briefed factual issues with respect to the POP and the scope of possible relief. See Dkt. 97 (Respondents’ Memorandum of Law in Support of Motion for Summary Judgment [sic]) at 8-9, 17-19; Dkt. 104 (Respondents’ Opposition to Complainant’s Motion for Summary Decision) at 20-22, 26; Dkt. 112 (Respondents’ Reply Memorandum of Law in Further Support of Their Motion for Summary Judgment [sic]) at 11; Dkt. 139 (Respondents’ Exceptions to Initial Decision) at 24-25, 37-38. Not only did Respondents address the POP, they made nearly identical arguments as they do now. *E.g.*, Dkt. 104 at 27 (Respondents arguing: “In addition to lacking the authority to require specific practices from regulated entities via adjudication, the Commission also lacks authority to require such practices from entities that are not subject to the Act.”); Dkt. 112 at 11 (Respondents arguing: “Similarly, the Pool of Pools is governed by the IEPs, and any requirement that its rules of operation be changed would run to the IEPs rather than ocean carriers.”); Dkt. 139 at 38 (Respondents arguing: “The ID nonetheless exaggerates the incidental involvement of the ocean carriers as customers of a system they did not create or usage allocation rules they did not design”).

Regardless, the standard is not whether Respondents failed to brief the issue, but rather whether the parties had *the opportunity* to brief it. 46 C.F.R. § 502.261(a)(3). IMCC’s extensive briefing directly requests the relief sought and obtained in the POP, i.e., an injunction prohibiting

ocean carriers from enforcing and renewing contracts for the POP while pool rules prohibit MH chassis choice. *See* Dkt. 93 (IMCC’s Motion for Summary Decision) at 13-14, 25-26; Dkt. 108 (IMCC’s Response to Respondents’ Motions for Summary Decision) at 19; Dkt. 121 (IMCC’s Reply in Support of Motion for Summary Decision) at 12-13. Moreover, the IEPs also extensively addressed administrative challenges to enact choice in the POP in their amicus brief. *E.g.*, Dkt. 146 at 13, 16. And even if IMCC’s briefing did not discuss ocean carriers’ unreasonable practices in the POP and the relief sought, the Complaint and the factual record cover the waterfront in Los Angeles / Long Beach, showing that Respondents had every “opportunity to comment[.]” 46 C.F.R. § 502.261(a)(3). *See* Dkt. 1 ¶¶ 55-56; Dkt. 88 (Joint Stipulations of Fact) ¶¶ 195-97; CSUMF ¶¶ 44-50; RSUMF ¶ 46; RSUMF/CResp ¶ 46; CSUMF/RResp ¶¶ 44-50; CSUMF/CReply ¶¶ 44-50.

Nor should the Commission credit Respondents’ recycled but fallacious argument that they have no influence on POP rules. The POP’s restriction of MH chassis choice exists only with the consent of the ocean carriers, which effectively delegate this decision to the IEPs through silence. Respondents’ tacit approval of these restrictions is directly contradicted by initial representations that the POP *would* enact MH chassis choice. In fact, the IEPs’ POP chassis usage agreement provides that they “ [REDACTED] [REDACTED]” and IEPs advised OCEMA members of this objective. CSUMF ¶¶ 49-50 (citing CX00004429 at 434). Yet the POP has never implemented this MH chassis choice program because ocean carrier contracts largely give them the discretion not to do so. CSUMF ¶ 50. Respondent ocean carriers are the IEPs’ largest and most important customers; if they demanded that the IEPs in the POP enact MH chassis choice ([REDACTED]), it would happen. Given that the IEPs could enact choice, that they promised the Respondents [REDACTED]

██████████ and that Respondents have failed to hold them to those representations, it is unjust and unreasonable for each Respondent ocean carrier to continue POP contracts that fail to enact choice.⁵

Nor should the Commission credit Respondents’ criticism that the Commission treated POP in more detail than other interoperable pools. Resp. Pet. 21. The Commission reasonably affirmed Judge Wirth’s specific findings of fact regarding the POP, including that motor carriers do not have the ability to switch away from the ocean carrier’s default chassis provider. Order 60-61; *see also* I.D. 17 ¶¶ 26-28, 34, 52-55. Given the unique nature of the POP, it is unsurprising that the Commission made particularized findings for it.

D. The Commission Already Considered—and Rejected—the IEPs’ Arguments in Their Amicus Brief.

Similarly, the IEPs’ arguments as amici mirror the Respondents’ petition, and are easily dismissed. For example, the IEPs claim the Commission has exceeded its jurisdiction by directing relief at the IEPs. IEP Br. 3-5. But the Order explicitly affirms Judge Wirth’s order directing relief only at ocean carriers. Order 61; I.D. 55 (“Respondent ocean carriers shall not take any action which limits a motor carrier’s ability to utilize the chassis provider of their choice for MH. As requested by IMCC, Respondent ocean carriers shall not extend or continue their contracts with an IEP in the POP while motor carriers cannot unilaterally elect a different IEP of their choice for MH.”). Nowhere does the Commission or Judge Wirth order IEPs to take or forbear from any action.

The IEPs also claim that, after years of litigation, the factual record is still too sparse for the Commission to require any relief in LA/LB. IEP Br. 3-4. But the IEPs do not challenge the

⁵ IMCC has asked Judge Wirth to require Respondents to submit a detailed compliance report, specifying how they plan to ensure their POP contracts and practices do not violate the Shipping Act. *See* Dkt. 158 (Joint Status Report) at 6.

actual factual findings of Judge Wirth, as affirmed by the Commission, that form the basis for ordering relief directed at Respondents. Rather, the IEPs claim that implementing that relief would be administratively complex for the IEPs and impose inefficiencies. Of course, that is no justification for Respondents acceding to contract terms that violate the Shipping Act. In any event, any such complexities can be addressed in the remanded proceedings. IMCC’s proposal for a compliance report explicitly includes logistical considerations regarding the POP. Dkt. 158 at 6. In addition, the findings by the Commission that support the relief requirement are more than amply supported by the record. There is no dispute that the POP “is an interoperable pool operated collectively by the IEPs,” that the “ocean carrier whose container is being moved selects the IEP for merchant and carrier haulage, and motor carriers must use that provider,” and that as a result “motor carriers are deprived of choice and an opportunity to negotiate for better rates or terms of service on merchant haulage and they are more restrictive than necessary to operate the POP as an interoperable pool.” Order 60-61 (citing I.D. 52, 55; JSF ¶¶ 195, 197). Ocean carriers can thus “negotiate volume discounts based on both carrier and merchant haulage but those savings are not passed along to the motor carrier or shipper.” *Id.* 61 (citing I.D. 52; JSF ¶ 197). There is also no dispute that the POP’s chassis use agreement called for all parties to “
[REDACTED]
[REDACTED]” CSUMF ¶ 49 (citing CX00004429 at 434).
[REDACTED].

CSUMF ¶¶ 47, 50; JSF ¶ 196. The IEPs do not contest that, even though ocean carriers have continued to enter into agreements with IEPs for the POP since 2015, choice has never been allowed. CSUMF ¶ 50. As a result, billing for an ocean carrier’s containers must be assigned to the one IEP with which an ocean carrier has a contract for the POP (i.e., “Box Rules”), including

for MH movements. *Id.* ¶ 48. The IEPs further never challenge that ocean carriers nevertheless continue to participate in the POP even though choice is unavailable. *Id.* ¶ [REDACTED]; *id.* [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]; *id.* ¶ [REDACTED]. As a result, the Commission found these “restrictions unreasonable because motor carriers are deprived of choice and an opportunity to negotiate for better rates or terms of service on merchant haulage and they are more restrictive than necessary to operate the POP as an interoperable pool.” Order 61 (citing I.D. 55). No more discovery is needed for the Commission to order relief.

Lastly, the IEPs’ attempt to assert facts entirely outside the record is untimely and inappropriate. The parties sought discovery from the IEPs, including with respect to market definition, and they resisted vigorously. *See* Dkt. 51 (granting in part and denying in part motion to compel discovery from IEPs). The Commission should reject the IEPs’ invitation to credit new assertions, untested by cross-examination, and ignore the comprehensive factual record. *See generally* IEP Br. 5-13.

E. Evergreen’s Recycled Arguments Must Be Rejected.

Evergreen’s separate petition does not state a single new ground for reconsideration that it has not previously briefed. *See* Dkt. 100-101, 138, 142. Rather, its petition makes “mere elaborations [] and repetitions of arguments made prior to the” Order. *Carolina Marine Handling*, 2006 WL 3473384, at *5-6 (rejecting petition, citing 46 C.F.R. § 502.261(a)(3)). For this reason alone, Evergreen’s petition must be summarily rejected.

Nonetheless, the Commission correctly found that “Evergreen’s model may differ from the other Respondents but it still has the same fundamental flaw. That flaw is the built-in assumption that the motor carrier will use Evergreen’s chassis at the rates Evergreen has set

unless the motor carrier provides its own chassis or contracts separately with an IEP.” Order 66. This conclusion finds robust support in the record. The undisputed facts show that Evergreen secures chassis for all movements, CH and MH, and then charges its customers and motor carriers various fees for their use. JSF ¶¶ 63-64. Under Evergreen’s filed tariff rules, Evergreen provides a chassis in an MH movement. JSF ¶ 63. Evergreen obtains these chassis by contracting with IEPs. RSUMF ¶ 88; RSUMF/CResp. ¶ 88. And despite the petition’s claim of commitment to MH chassis choice, the Commission correctly found that Evergreen cannot cite any statistic or fact in the record showing that “the opt-out alternative is more than a theoretical option and is actually available to motor carriers for the asking.” Order 66. Rather, the undisputed facts show that Evergreen [REDACTED] [REDACTED]. CSUMF ¶¶ 96-98. Evergreen then assesses a Chassis Usage Charge on the MH customer or motor carrier for the day of delivery of the container to the motor carrier plus four business days unless the customer uses its own chassis. JSF ¶¶ 63-65. Evergreen calls these four business days “free time” because it does not impose an *additional* per diem cost on the motor carrier. *Id.* If the chassis is not returned within the free time, then Evergreen assesses a per diem charge until the chassis is returned, pursuant to the UIIA Agreement signed by the motor carrier and Evergreen. *Id.*

Faced with overwhelming undisputed evidence, Evergreen tries to recast the record to the Commission, hoping for a different result. For example, Evergreen claims that the Commission failed to consider evidence that “payment of the Chassis Usage Charge is a choice made by the customer at the time freight is booked and is not ‘imposed’ on the motor carrier or the customer,” and the “only potential charge to which a motor carrier may be subject are per diem charges, pursuant to Evergreen’s tariff[.]” Evergreen Pet. 2-3. But Evergreen’s argument is just a

different way of describing the undisputed facts. The only difference between Evergreen's contracts with chassis providers and other ocean carriers is that Evergreen directly exercises MH chassis pricing power instead of delegating to an IEP. *See* I.D. 60 (collecting factual evidence). Evergreen receives financial benefits because Evergreen obtains pricing from its chosen IEP based on combined CH and MH volumes. *Id.* Thus, Judge Wirth and the Commission *did* consider Evergreen's arguments—and rejected them. I.D. 60; Decision 65-66.

Evergreen further complains that the record is insufficient regarding whether motor carriers or MH customers can decline to use the chassis provided by Evergreen. Evergreen Pet. 3-4. But the record is undisputed that [REDACTED] [REDACTED]. *See* CSUMF ¶¶ 96-98. Evergreen's theoretical argument that *perhaps* Evergreen *may* allow MH chassis choice in the future is entirely insufficient at this stage. And even if the factual record were incorrect (it is not), Evergreen effectively seeks to reopen fact discovery so that it can have a second bite at the apple. But Evergreen's failure to adduce better evidence is not an error of the Commission's making. Rather, the Commission correctly determined based on the factual record that any differences in Evergreen's business model is not material to the core question in the case—that Evergreen's policies and practices that deny MH chassis choice are more restrictive than necessary, and thus unreasonable.

Evergreen also argues that it never had the opportunity to argue that the customer, not the motor carrier, has the right to exercise chassis choice. Evergreen Pet. 4. Evergreen even cites the deposition testimony of its own employee who unsurprisingly testified that motor carriers are free to substitute their own chassis. Evergreen Pet. 5-6. But not only did Evergreen have the opportunity to make this argument, it affirmatively did so. *See, e.g.,* Evergreen Exceptions 2 ("if an Evergreen customer chooses to have its motor carrier use a chassis other than the one

provided by Evergreen for MH shipments, the customer and its motor carrier can use their own chassis or a chassis provided by an IEP selected by the motor carrier or customer.”). The Commission considered and rejected this argument. Rule 261 does not permit Evergreen to repeat it again. 46 C.F.R. § 502.261(a)(3). Regardless, under an MH movement, it is the BCO not the ocean carrier who is responsible for arranging transportation, including arranging the motor carrier and chassis. Thus, when Evergreen imposes its Chassis Usage Charge and per diem in connection with an MH move, it is Evergreen that denies chassis choice, not the BCO. Order 66 (“That built-in assumption places Evergreen’s model on the same footing as the other Respondents’ practices in terms of placing the onus on the motor carrier to make alternate arrangements if they do not want to use Evergreen’s chassis for merchant haulage or pay its preset rates.”). Further, these usage charges and per diems are higher than the daily rental charges that Evergreen pays to its IEPs for chassis. CSUMF ¶ 95. Because it contracts for chassis in all movements, Evergreen negotiates for financial incentives based on the total higher CH plus MH volume. Decision 65-66; CSUMF ¶¶ 208-38. While this “model” brings financial benefits to Evergreen, it is every bit as harmful to MH carriage as the other Respondents’ models because it denies motor carriers chassis choice in MH movements, and thus restricts the ability of motor carriers to switch away from these chassis per diems. Decision 65-66; CSUMF ¶¶ 96-98.

As a result, Evergreen’s petition also can be quickly rejected, as it only repeats its prior arguments and is contrary to the factual record.

IV. CONCLUSION

IMCC respectfully requests that Respondents’ and Evergreen’s Petitions for Reconsideration be summarily rejected or, if considered on the merits, denied.

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DATED: March 29, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that, on March 29, 2024, a true and correct copy of the foregoing Complainant's Consolidated Reply to Respondents' and Evergreen's Petitions for Reconsideration was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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